



# 3Q Digital's Complete Guide to Facebook Advertising

By Brad O'Brien, Director of Social

# Overview

By now, everyone (including investors!) knows that Facebook advertising is a viable, profitable digital channel that can stand on its own or work in combination with other channels. Facebook has the power to help you find, build, nurture, and convert new audiences on mobile and desktop. It's an integral part of every digital strategy – ecommerce, B2C, B2B, health care, education, etc.

Today, a Facebook advertiser's biggest obstacle is that, with the proliferation of ad types, goals, and things you can actually achieve on Facebook, the options and best practices can get overwhelming.

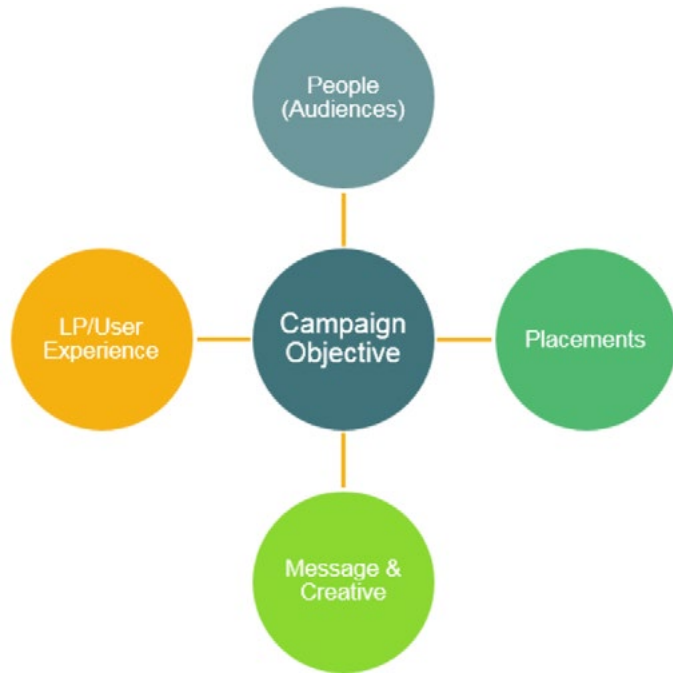
We're boiling it down for you in our unique, comprehensive guide to Facebook advertising, which adds our agency's secret sauce onto all the layers every Facebook marketer needs to know. Those layers include:

1. **TRACKING** (The best-run campaigns in the world lose tons of value if they're not properly tracked)
2. **ACCOUNT STRUCTURE**
3. **ELEMENTS OF AD SETS** - Targeting, Bidding, Budget and Placement
4. Best Practices for **ACQUISITION CAMPAIGNS**
5. Best Practices for **RETENTION CAMPAIGNS**

## 6. **AD UNITS** - Best Creative and Testing Practices

Before we dive into the six layers, a couple of notes. First, the techniques and optimizations discussed represent our breakdown of advanced advertising on the *native Facebook ads platform*; if you work with Nanigans, Kenshoo Social, 4C, etc., you may have experience with different naming conventions, API functionality, etc.

Second, what is our secret sauce? It's the 3Q Digital Social Framework, a simple but effective way of reaching the right audiences, on the right platforms and devices, with the right creative and message. It serves as a scalable foundation to build profitable growth drivers on social platforms. Similar to our [Alpha-Beta structure for paid search](#), the 3Q Social Framework uses single-objective campaigns to isolate top performers, build their scale, and continuously optimize. Top campaigns are managed 100% autonomously from one another, allowing for evergreen scale combined with new and seasonal campaigns.



As we walk through our Facebook Playbook, we will be referencing 2 example clients:

1. FashionFinds is an ecommerce site focused on women's fashion retail. They have a range of product lines including dresses, shoes, jewelry, etc., and ship to 10 countries. They do not have a mobile app.
2. GoodFood2U is a restaurant food delivery service that has a website and app component. They're very geo-based, serving specific markets in the US only.

Now that we're all situated, let's buckle up and get started!

## 1. Tracking

Implementing Facebook's tracking pixel allows us to determine whether performance is on track with the client goals. Generating a pixel and placing it on the site will capture events that take place on the client website such as a check out, registration, view of a particular page, etc., when the code fires. To learn more about Facebook conversion tracking, [here](#) is a step-by-step guide on pixel creation and verification.

In addition to the conversion pixel tracking, you can implement a Custom Audience pixel to define groups of people who have already demonstrated intent through their interactions on the client website. The Custom Audiences generated from the website can serve to meet strategic objectives for customer retention and acquisition. For more information on the Custom Audiences pixel, read the step-by-step guide [here](#).

In the second half of 2016, Facebook will be moving to one, unified pixel that will replace the conversion and custom audience pixels. Advertisers can get ahead of the forced change by switching to the [Facebook Pixel](#) beforehand.

Specific to mobile app campaigns, the Facebook SDK (Software Developer Kit) can be treated as the Custom Audience and conversion pixel wrapped into a single tracking solution. It allows for the tracking of installs of an app along with deeper app activities. Your client may

already work with a 3rd-party app tracking platform, such as AppsFlyer or TUNE. Our best practice is to utilize the FBSDK to keep everything contained within the Facebook ad platform – for the same reasons you’d want to utilize Custom Audience and conversion pixels placed in the FB ad platform for web conversion campaigns. To learn more about all things FBSDK, including setup and deep linking, click [here](#).

## 2. Account Structure

When determining account structure, you want to first define key strategic objectives for the client and break those objectives into a series of Acquisition & Retention campaigns. The 3Q Social Framework dictates that your campaign will always be a single objective. Standard naming convention for Social campaigns, ad sets, and ads should be followed for reporting segmentation purposes. (You can locate the documentation on standard naming process [here](#).)

At the campaign level, you’ll also choose your primary advertising objective. The advertising objective is geared more towards the tracking and reporting selection rather than the overall strategic objective for the client.

Common advertising objectives for 3Q clients are website conversions and mobile app installs. Choosing website conversions will allow you to track and report on conversions, whereas mobile app installs tracks installs. Ultimately, you will choose the objective that closest matches the objective and primary KPI for each of your campaigns.

Below is a list of all of the different objectives you can choose from:

- **CLICKS TO WEBSITE:** Send people to your website.
- **WEBSITE CONVERSIONS:** Increase conversions on your website. You’ll need a conversion pixel for your website before you can create this ad.
- **PAGE POST ENGAGEMENT:** Boost your posts.
- **PAGE LIKES:** Promote your Page and get Page likes to connect with more of the people who matter to you.
- **APP INSTALLS:** Get installs of your app.
- **APP ENGAGEMENT:** Increase engagement in your app.
- **OFFER CLAIMS:** Create offers for people to redeem in your store.
- **LOCAL AWARENESS:** Reach people near your business.
- **EVENT RESPONSES:** Raise attendance at your event.
- **VIDEO VIEWS:** Create ads that get more people to view a video.

In the case of FashionFinds, you may have individual strategic objectives such as “acquire new US customers in the Jewelry

category” and “retain European customers who haven’t purchased in the past 12 months.” Since FashionFinds is an ecommerce retailer without a mobile app, it is likely both of their retention and acquisition campaigns would be tied to reporting conversions that occur on the website.

Below are some examples of the campaign naming convention that reflect the strategic objectives for the FashionFinds client:

- 3Q\_FB\_ACQUISITION\_JEWELRY\_US
- 3Q\_FB\_RETENTION\_EU

For a client such as GoodFood2U, individual strategic objectives may include acquiring new web customers in the Boston Metro area, creating retention-focused app promotional offers for current customers in Brooklyn, and driving mobile app installs for San Francisco. It is likely then that a client such as GoodFood2U would track website conversions and app installs to meet strategic objectives. Below are some examples of the campaign naming convention that reflect the strategic objectives for the GoodFood2U client:

- 3Q\_FB\_ACQUISITION\_BOSTON
- 3Q\_FB\_RETENTION\_BROOKLYN
- 3Q\_FB\_ACQUISITION\_SF

## 3. Ad Sets – Targeting, Budgeting, Bids, and Placements

The ad set level will carry your audience targeting, budget, bids, and placements. Each of these elements should be optimized towards meeting your campaign objective. For better control, each ad set should represent a single placement and audience. By segmenting targeting into separate ad sets, we can better determine performance and optimize accordingly. For this reason, we want to avoid overlaying audiences or placements in a single ad set unless it’s absolutely necessary.

### TYPES OF AUDIENCES

We can target users a number of different ways using a combination of the client’s 1st-party data as well as the defined audiences made available for targeting on Facebook. Common audience targeting approaches include Custom Audiences, Lookalike Audiences, Locations, Demographics, Interests, and Behaviors. Below, you will find more information on common audience targeting practices.

- **CUSTOM AUDIENCES** are defined by using existing information that identifies your customers. To define a custom audience, the client must provide a list of customer email addresses or phone numbers or a list of mobile app IDs, which are then uploaded to Facebook.

- *Define Seed Audiences.* With CRM lists such as customer email addresses, emphasis should be on quality over quantity. Highly selective parameters should be used to segment specific types of customers. Some examples can include the top 5% LTV customers or customers who make a certain number of repurchases per year. If you are working with a larger CRM seed audience size over 50K, it's best to break out the custom audiences into separate tiers such as top 50K, 50K-100K, 100-150K, etc., and build Lookalike audiences (see #3) off of those separate lists.

• **WEBSITE CUSTOM AUDIENCES (WCAs)** fall under the Custom Audience umbrella as the audiences are defined by gathering 1st-party data on the client website via pixel placement.

- *Define Audiences by Intent.* You will want to take advantage of the targeting and segmenting possibilities of Website Custom Audiences (WCAs). Depending on what pages someone hit on the site, they could have completely different motivations; therefore, you do not want to rely on retargeting solely to all site visitors. It's also important to note that retargeting is not only reserved for retention campaign strategy. It can be utilized for both acquisition and retention-focused campaigns.
- Depending upon your goals, retargeting audience lists can serve to meet your campaign objective. Below are some

examples of how you may want to segment out audiences given the different levels of intent:

- REACHING SHOPPING CART ABANDONERS
- GROUPING PRODUCT CATEGORY URLS
- EXCLUDING PAST CONVERTERS/ORDER CONFIRM PAGE VISITORS
- SITE SECTIONS

- You can also build WCAs off of people who came to the site from other marketing channels such as Paid Search, Affiliates, Email, or PLAs. This method requires a unique URL param and provides the opportunity to match or beat that channel's best offer to incentivize action. Also keep in mind that Lookalikes can be created off a WCA, which can be very effective.

• **LOOKALIKE AUDIENCES (LALs)** can be derived from a Custom Audience or a conversion pixel or site/app event; they provide the opportunity to target people who are likely to be interested in the offer because they share similar attributes to the client's existing customers.

- *Avoid Additional Audience Overlays.* When you are building Lookalikes off of the client's 1st-party data such as email lists or web traffic, it's best practice to be more selective at the seed

level and avoid overlaying additional targeting on top of the Lookalike Audience unless it's necessary (e.g. 21+ for an alcohol campaign). Lookalikes will constantly refresh, and the algorithm will develop signals to improve ad serving based on your campaign objective and bidding method.

- **AUDIENCES BY SEASONALITY AND CUSTOMER LTV.** CRM data can be valuable for defining Lookalike audiences with similar attributes to the client's current customers. Seed audiences can be used for targeting holiday and promotion purchasers for brands with heavy seasonality. An example of this is a tax software client where you may want to define audience segments for early-, mid- and late-season customers. Additional audiences built off of CRM data can include product line converters, device converters, high-value or high-repeat customers, self-selected checkout parameters such as "this is a gift," or converters from social channels.

- **INTERESTS, BEHAVIORS AND DEMOGRAPHIC** targeting options are based off of user activity and information shared on Facebook as well as data surrounding offline activity that is provided to Facebook through trusted 3rd-party partners.

- *Use Applicable Audience Targeting.* In general, Interests and Behaviors do not work as well as leveraging 1st-party client data, but if the client is launching a brand new site or app and does not have a CRM list, Interests and Behaviors are a good option to start with targeting. Interests and Behaviors

can also perform surprisingly well in certain verticals and are worth trying out in combination with Lookalikes built from custom audiences.

If you are unsure of where to begin with your targets, you can use FB Audience Insights to mine valuable demographic, interest, or behavior information. Depending on the client, you may want to target audiences based on demographics such as jobs and titles for B2B or homeowners and parental status for relevant B2C targeting. You can also experiment with competitor targeting at the interest level.

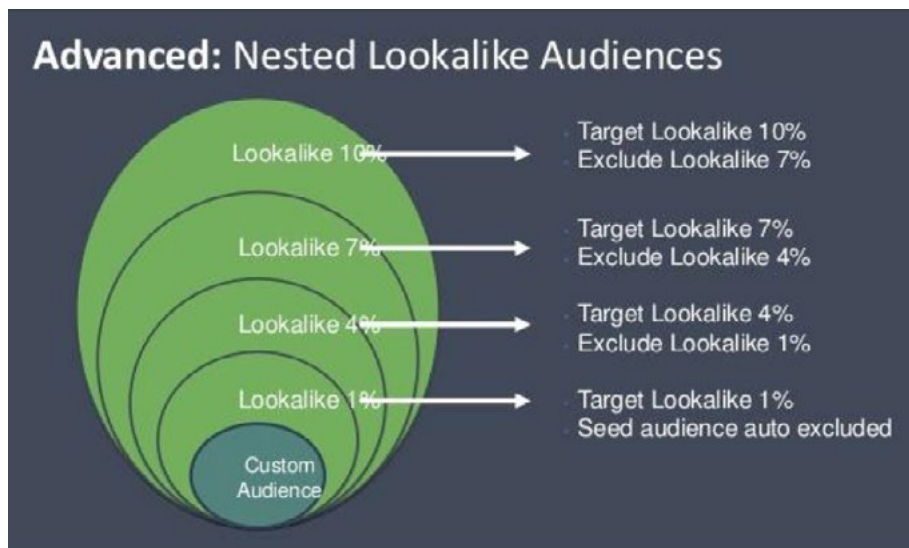
- *Use 3rd-Party Financial Data.* Financial data such as income and net worth can be an effective form of targeting available through Demographics. Similarly, behavioral financial data such as lines of credit and premium credit card holders are available through the Behavior targeting section. If you're spending \$50K+ per month on Facebook, you may be eligible to target 3rd-party audiences from Experian. (Feel free to ask us if you'd like further direction on Experian audience targeting.)

## AUDIENCE SEGMENTATION

Performance can vary for the different audience types and therefore, each WCA, Custom Audience, or Lookalike should be broken out into separate ad sets rather than lumped together. For example, a Lookalike based off High-LTV customers will have different behavior than a Lookalike audience based off discount-driven customers. The goal is

to keep things as controlled as possible, defining distinct audiences that will help to meet your campaign objective while limiting audience overlap. Alternatively, types of Interests and Behaviors such as competitor, media habits, and credit history targeting can be combined within a single ad set.

In the example of the FashionFinds client, we may consider an ad set targeted to a Lookalike audience based on their top 5,000 AOV jewelry customers. When you are making an acquisition play, proper exclusions for current customers should be applied to the ad set. A separate ad set for the Fashion Finds client may be targeted to a custom audience based on European customers who haven't purchased in 12+ months.



SOURCE: FACEBOOK

For the GoodFood2U client, we may consider an ad set targeting a group of people with interest in direct and indirect competitors and then add the layer of Boston Metro area targeting. Another acquisition strategy may include a Lookalike audience based on San Francisco app installer emails. App retention strategy may include a custom audience based on Brooklyn customers.

When using Lookalike targeting, it is important to implement a nesting strategy. The nested approach ensures overlap is avoided when scaling to outer thresholds while excluding the inner tiers.

## PLACEMENTS

Just as we segment audience targeting at the ad set level, each placement should be contained in a separate ad set because of the differences in performance. The four main placement options are:

- **MOBILE NEWS FEED** — The Mobile News Feed placement (MNF) typically delivers lower conversion rates but often carries higher CTRs & lower CPCs than the Desktop News Feed (DNF). Because of higher volume and cheaper traffic, MNF placement is often used for directional testing purposes. The placement is commonly utilized for the purposes of casting a net for interested audiences, then retargeting to those non-converters using DNF or right hand rail placements, which traditionally carry better conversion rates. We can take the learning from the MNF placements to determine which audiences will have potential to scale before rolling out to more expensive desktop placements.



- **DESKTOP NEWS FEED** — Desktop News Feed allows for longer character limits and larger images. It is best for when you need to deliver more detailed ad copy to viewers. Given the high conversion rates, it is the most expensive placement.

- **RIGHT HAND RAIL** — Right Hand Rail placement typically carries lower CTRs but higher CPCs given the higher conversion rate. There is no frequency cap available for this placement. For this reason as well as others mentioned above, you will want to segment right rail placement into an ad set separate from MNF and DNF placements.

- **FACEBOOK AUDIENCE NETWORK** — Facebook Audience Network (FAN) consists of mobile app placements across 3rd-party apps outside of Facebook. Given that FAN is more experimental, it can carry lower conversion rates and is best suited for a mobile app install campaign objective.

## BUDGETING

Daily budgets are much easier for pacing evenly and are usually the preferred method, especially when you're working with a set monthly budget. In the case of FashionFinds, daily budgets are preferred since Facebook's algorithm starts to learn site traffic patterns and will learn how to pace impressions throughout the day to maximize the daily budget.

Lifetime budgets should generally only be used when day-parting

is part of your needed strategy. Day-parting is only available on Facebook when using Lifetime budgets. Since the GoodFood2U client has very specific delivery hours in different geographic markets across the US with campaigns that are broken out by geo, they require a day-parting strategy in order to keep the program efficient.

Lifetime budgets should be set on the first of the month and extend to the end of the month. You will then reset your Lifetime budgets on the first of the next month. This is typically the easiest way to pace without having to constantly update your lifetime budgets.

## BIDDING

There are four main bidding methods available at the ad set level:

- **CPC (COST PER CLICK)** bidding is a basic strategy for performance advertisers where advertisers pay on a per-click basis and the system optimizes for the click traffic.

- **CPM (COST PER THOUSAND IMPRESSIONS)** bidding is a method that is strictly going to aim to optimize for the cost of serving 1,000 impressions, regardless of the quality of impression.

- **oCPM (OPTIMIZED CPM)** is a more common route than CPC and CPM bidding and optimizes for conversion on a cost-per-1,000-impressions basis.

• **CPA (COST PER ACTION)** is a bidding method that optimizes towards actions such as mobile app install, page likes offer claims, and link clicks. Under the CPA bidding method, advertisers pay on a per-action basis.

**When to use oCPM bidding:** oCPM is generally going to be your best bidding option for Web Conversion campaigns and is often a great scaling mechanism. oCPM optimizes on a cost-per-1,000 impressions basis. The bidding method essentially will show to the persons in your audience most likely to take your desired action (convert). Because of this, Facebook will only serve impressions to ~20% of a given audience when using oCPM. Below are some things to consider:

- In order to use oCPM, your Audience size must be over 1 million.
  - Your ad set budget must be at least 5x your target bid.
  - It is recommended that your ad set have at least 25 conversions a day in order for the algorithm to have enough data to perform well.
    - If the client's conversion data doesn't meet the recommended threshold, you can create a proxy conversion event higher in the funnel to facilitate bidding under the oCPM method. An example of a proxy can be adding an item to a shopping cart as a demonstration of the person's intent to convert. The system will then use the proxy to predict performance in the auctions.
- If you're strict on CPA and efficiency, we recommend setting your bid at 15% above your CPA target. This should keep your conversions close to your CPA goal.
  - If getting impressions at scale is the goal, you should set your bid at 2-5x your CPA goal. This approach is also effective if it's a struggle to get delivery otherwise.
    - For example, the GoodFood2U client has a CPA goal of \$40. Under auto oCPM and a target of +15% of CPA goal, we are not getting any delivery. To combat this, we can set the bid at \$80-\$200. The significantly higher target doesn't mean you'll actually pay that much for a conversion, but it gives a signal to the algorithm that the audience is important to you and you want to serve impressions to it.

**When to use CPC bidding:** CPC (Cost per Click) bidding is typically used when your audience size is below 1M.

CPC works especially well for retargeting given that the audience we are targeting has already had interactions on your site and is much more likely to be 'click converters.'

CPC bidding may also be a preferred option if you run regular promotions on a weekly basis, given that the Facebook algorithm takes a day to adjust to conversion rate fluctuations under the oCPM and CPA bidding methods.

### 3Q Facebook Web Conversion Bidding Matrix

|                                   | oCPM                                     | CPC                                                                          |
|-----------------------------------|------------------------------------------|------------------------------------------------------------------------------|
| <b>Goal of Bid Type:</b>          | Objective set at the campaign level      | Clicks                                                                       |
| <b>Ideal Audience Size:</b>       | 1.0 Million +                            | Under 1 Million                                                              |
| <b>How to Set Bid:</b>            | 5x CPA Goal                              | 1. Based off of similar CPCs<br>2. Depending on the expected relevance score |
| <b>If ad set is not spending:</b> | 1. Increase Budget<br>2. Increase Bid    | 1. Increase Bid                                                              |
| <b>Exceptions to the Rule:</b>    | Use CPC if:<br>1. Low CVR<br>2. High CPA | Use oCPM if:<br>1. You want to scale! CPC bidding is for small audiences     |

**oCPM vs CPA:** When possible, we want to choose oCPM or CPA bidding depending on the campaign objective. Both bidding methods are very similar in that they optimize towards a CPA target. The biggest difference with CPA bidding is that it only optimizes towards the below specific conversion types:

- PAGE LIKES
- OFFER CLAIMS
- LINK CLICKS
- MOBILE APP INSTALLS

CPA bidding does not take into account external website conversions like oCPM. Another key difference is that oCPM bidding is about scaling your campaigns; it aims to spend your daily budgets while trying to hit the CPA target. CPA bidding, on the other hand, is purely focused on efficiency and hitting your target CPA goal vs. making use of your entire budget.

### 3Q Facebook Mobile Install Bidding Matrix

|                          | CPA                                                                                | oCPM                                                                                                                                         |
|--------------------------|------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Goal of Bid Type:</b> | Maximize ROI with strict bid caps                                                  | Increase delivery by paying by impressions                                                                                                   |
| <b>How to Set Bid:</b>   | Based off LTV/CPA goal numbers – set slightly above the cap to give FB flexibility | Try automatic at first; keep adjusting up until delivery kicks up and CPIs are at goal                                                       |
| <b>When to use:</b>      | For controlling your maximum cost per install most effectively                     | To increase scale of installs and delivery of your ads<br>• Good creative is key or you can easily miss your goals using this bidding method |

\*CPA Bidding is not an available option until after 1-2 weeks of oCPM buying due to FB verifying installs

## 4. Acquisition Campaigns

This section goes through a number of best practices to keep in mind as you build out Acquisition campaigns.

When we are building out **pure** acquisition campaigns (where the client is only interested in new customers), we must always exclude their CRM list of current customers, as well as a website custom audience or custom audience event that tracks new conversions in near real-time.

For example, if a confirmed checkout on FashionFinds results in a URL that contains 'order- confirm,' you will want to set that URL up in its own website custom audience. It's a similar process for excluding a custom audience event that matches checkouts. For mobile app campaigns, it would involve excluding those who have installed the app if cost per install is the goal and/or excluding app purchases/ checkouts if cost per new customer purchase is the goal.

### LOOKALIKE AUDIENCES

When building ad sets for an Acquisition-focused campaign, use a Lookalike audience (LAL) modeled off highly targeted email seed audiences rather than creating an LAL off of the client's entire CRM list. The larger an audience is and the more variables at play between types of customers, the less likely Facebook will be able to return a good

LAL. For this reason, Lookalike audiences should be modeled off a single seed audience criteria. Examples of seed criteria can include top 5K LTV customers, top 10% repeat purchaser customers, and highest AOV customers among other appropriate segments for the client. The custom audience, or the seed from which an LAL is created, will automatically be excluded from that LAL target.

Always begin testing Lookalike audiences with a 1% LAL. This 1% tier will give you a good indication if the audience has potential to scale. In theory, the lower % the LAL, the more alike they are to your seed audience. A 1% LAL will reach a finite scale somewhat quickly, so if you're seeing directionally positive results, you may want to consider opening up your LAL% tiers. Keep in mind as you expand outward to different tiers, nesting strategy specifies you should exclude previous tiers.

- For example, if you are targeting 1% LAL audience and expand outward to 4% LAL tier, you will want to make sure to exclude the already targeted 1% LAL to ensure there is no overlap between the LAL targets.
- As you extend the tiers outward, keep in mind that a 10% tier is 20 million people, and at that level the audience become less distinguishable. Generally, the 10% tier is only utilized if performance is trending well at lower tiers and you want to scale more aggressively.

## WEBSITE CUSTOM AUDIENCES

Website custom audiences are generated from pixel placement on the client website. WCAs can be utilized to exclude current customers and real-time conversions for the purposes of creating audience siloes for Acquisition-focused objectives. WCAs can also be used to target non-converters; when defining Website Custom Audiences, it is recommended to work backwards from steps in the checkout process. Essentially, someone who did all the steps besides the very last one will be your most efficient retargeting pool. General website visitors such as all visitors to the homepage may not be as effective as audiences created from visitors who have demonstrated more specific intent on the client website. Facebook can go back up to 180 days for a website custom audience, so if your site gets enough traffic, you may want to set up different ad sets for recency of the visit such as 30 days, 60 days and so on.

## INTERESTS, DEMOS AND BEHAVIORS

Generally, Interests, Demographics and Behavior targeting do not perform as well as custom audiences and Lookalikes built from your 1st-party data; however, they can work well for certain verticals and drive more volume for the campaign. When structuring ad sets, you should lump similar interests together in a single ad set, whereas Behaviors should be designated to separate ad sets given large audience sizes in the millions. By segmenting Behavior targets into separate ad sets, we then have the ability to identify which Behavior

targets carry the biggest impact on performance.

In the example of the FashionFinds client, you could target women in a certain age range who have an interest in Fashion. You could also target Behaviors in combination with Demographics, such as women online purchasers. Additionally, you could target direct and indirect competitors as well as complementary brands and products.

In the example of the GoodFood2U client, you can create a single ad set that targets people who have expressed interest food delivery services such as GrubHub, Postmates, DoorDash, Eat24, Caviar, etc.

## 5. Retention Campaigns

Retention refers to current customers or mobile app installers, where you are trying to stoke repurchase rates or deeper app and brand engagements. Retention strategy can also involve moving a person further down the funnel. Examples of this can include encouraging web sign-up users to complete a web application or moving mobile app installers to complete a mobile app purchase. It's important to work with your client to identify key strategic objectives for retention, following the 3Q Social Framework to meet key specific objectives.

Retention audiences will always be in the form of a custom audience or website custom audience supplied by any of the following:

- CLIENT CRM LISTS

- CONVERSION PIXELS
- WEBSITE URLS
  - Create a website custom audience of people who have reached URLs that indicate a prior purchase (e.g. order\_confirm)
- CUSTOM AUDIENCE EVENTS
- MOBILE APP EVENTS

Retention campaign strategy can be approached in a variety of different ways. Below are some examples of the different strategies one can take:

- Lapsed customer retention (e.g. clients who haven't purchased in 12+ months)
- Upselling or repurchase incentives for current customers
- Matching segmentation, message, and creative the client is using in email marketing; Social provides an additional touch point on the consumer path to purchase.
- Re-engaging those who have uninstalled your app, not opened your app in x days, installed but not used, etc.

## 6. Ad Units – Creative and Testing Best Practices

The range of available Facebook ad units can be overwhelming. Each ad unit has its own distinct specs, best practices, and advantages, and ultimately your vertical will dictate the best ad units to launch with. As a general rule of thumb, you may want to initially run with a few single product image/static image ads and a carousel ad and then eventually layer in other types of ad units (for a full breakdown of specs and placement by ad type, click [here](#)...and bookmark it).

There are some exceptions to the rule for selecting ad units. For example, all e-commerce clients should be running dynamic product ads, whereas all lead gen clients should be testing the mobile lead gen ad unit. Naturally, video service clients should be testing video for conversions. To get a better understanding of how the newer ad units such as carousel and video are performing, please read [this 3Q blog post](#).

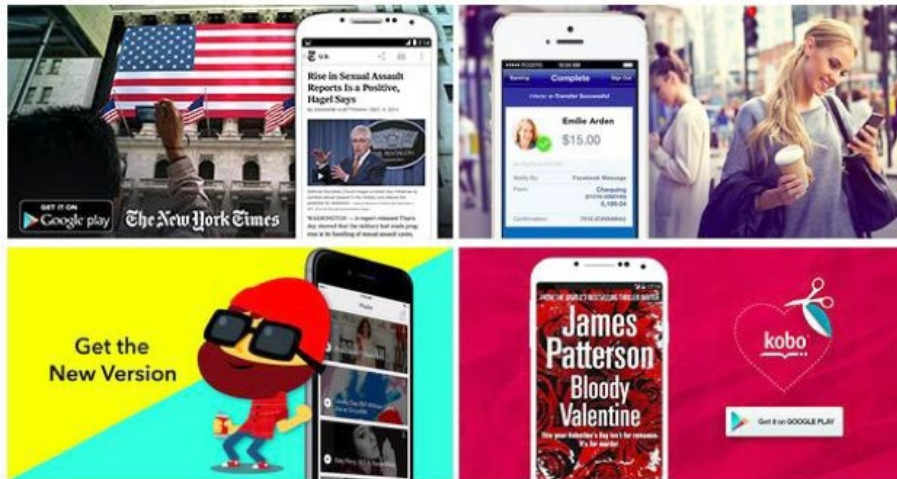
### BEST PRACTICES FOR CREATIVE ELEMENTS

The evolution of Facebook's algorithm requires us to leverage each component of the ad unit to create a more tailored experience for the user. Elements controlled at the ad unit level include text (headline, copy, descriptions), destination URL as well as UTM tagging, images



or video, and call to action buttons (which aren't available for carousel ads). Each of these elements in your creative should work together to carry a cohesive message that speaks to your audience and your desired objective

The most important element of any ad is always the image. In most cases, the ad will only receive a fraction of attention from a user, so it's important to pique interest in a short time span. As best practice, bright colors such as oranges, reds, yellows, and greens can be used to contrast the cool color scheme of Facebook. The careful selection of color palette and use of high-quality images that tell a story can draw attention and potentially lead to higher CTRs for your creative. In the example for a mobile app ad below, showing a mobile device and also the app screenshots in use are winning tactics across all verticals.



When used in combination with images, compelling text can help break through the noise and motivate the person to complete a desired action through the use of call to actions. Messaging such as “deal of the day” or “last minute” can serve to create urgency for your call to action, and use of “sitewide” can be applied for any broad percent or dollars off promotion.

The headline of the creative is highly visible and should always contain an offer or key value proposition. Effective ad messaging occurs when your audience can derive the value of the product or service, and for this reason we want avoid using first person because it can kill engagement. Ad messaging written in a more conversational tone with second person using words such as “you” and “your” can lead to better engagement rates and higher relevancy scores. Examples of stressing brand value propositions is messaging such as “delivered straight to your doorstep”, “skip the mall”, “don't wait in line,” etc.

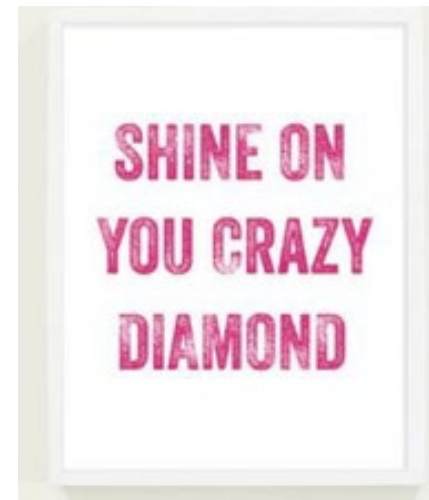
To improve relevancy of the ad messaging, you may incorporate hints of seasonality in creative and copy to keep top performers relevant all year round and reduce ad fatigue. In the case of the GoodFood2U client, you may want to incorporate more seasonal-specific messaging. Examples of this can include “It's football season and that means it's also food season”, or “It's cold out there. Order in just a few clicks and have your food delivered right to your doorstep.” Or “beat the summer heat with delicious treats delivered to you.” In the example below, the creative was utilized to position the year-round best-selling bouquet specific to the season for ProFlowers.com.



Studies have shown that text-heavy creative can negatively impact engagement rates, so you want to ensure that you are getting the messaging across in a concise manner. To determine if your creative is too text-heavy, Facebook has a text overlay rule, where text cannot touch more than 20% of the boxes in [this tool](#). Some exceptions to the text rule can include any text that is part of your actual product and logos that are physically on a brand's product, such as the Red Bull logo on the Red Bull can.

It's important to note that you want to consider the form factor when building your creative so that it translates to different placements such as mobile and right hand side. Ad copy character limits will vary depending on placement, and in some cases the creative will have to be retooled for improved readability on the placement. An example

of rephrasing creative to meet placement guidelines is, "Our new fall collection is in. We have lots of great new shoes to shop from," versus "You're going to fall for the new fall collection. Shop for your new favorite pair of shoes now."



## AD TESTING METHODOLOGY

The As we mentioned before, it's important to refresh creative from time to time even with top-performing ads to avoid fatigue and cater to the algorithm, which favors fresher ad copy. The level of rigor with ad testing and how the testing is structured depends on whether you would like directional learnings that can be gathered quickly or want things as controlled as possible.



For those who are interested in gathering directional learnings for testing efforts, you can launch multiple ad variations to the same ad set and allow Facebook to optimize and spend on the best performing ad.

Note: in this scenario, the same audience may see both ads; some may feel this creates a bias towards the second ad they see (as the audience may be farther down the funnel at that point).

For those who are adamant about a very controlled environment, you will want to test ads using user segment categories on Facebook. (Accounts need to be whitelisted by your agency partners or your Facebook rep in order to use the feature.) User segments are defined at the ad set level and allow you to split a single audience in 2-10 equal segments. This allows you to serve a single creative to each segment within an audience to avoid any potential overlap and gather controlled learnings. For example, an ad set targets 4M people. With user segments, we can split the audience into two groups totaling 2M each and upload each ad variation into its own segment, allowing for greater control over the test.

In the majority of cases, you'll want to test 2-5 distinctly different ads. The number of ad variations in rotation ensures that you're doing your due diligence to find winning creative and mitigates any over-segmentation of the data. With this approach, you get a better idea on what creative can really move the needle and inform future optimizations, such as testing product vs. lifestyle, offer 1 vs. offer 2, etc.

In monitoring ad test performance, pay close attention to individual relevance score (evaluated on a scale of 1 to 10 for each ad). High CTR and engagement are indicators of high relevance scores, whereas people clicking "I don't want to see this ad" negatively impacts relevance score. We strive to optimize creative for higher relevance scores as they generally translate into lower CPCs in the auction. It's also important to closely monitor frequencies. A good rule of thumb on frequencies is to rotate in a new creative the moment you start to see diminishing returns in performance metrics from running the same creative to the same audience.

One question we frequently get from clients is around ad frequency rates. These are calculated by the average amount of times a person in your audience was served an impression of your ad. A best practice we like to share is to let the data be your guide. Analyze week-over-week CTRs within an audience on an ad unit to judge for relative audience fatigue to your creative. If CTRs are trending down week over week, it's time to refresh your creative. Ultimately, CPA/CPI and ROAS should be your guide and, after rounds of iterative creative, will let you know if a particular audience has reached the point of diminishing returns.

## Conclusion

As you know if you've read this far, Facebook advertising is a huge, powerful tool that's always changing and improving, giving advertisers new tools to work with (rest assured, Facebook is working on a handful

of cool new features as we speak). We recommend reading top industry blogs and following the [Facebook blog](#) daily to supplement this guide. By following the structure and best practices outlined above, you will be able to reach the right audience, on the right platforms and devices, with the right creative and message.

Good luck!

## About the Author

Brad O'Brien joined 3Q Digital as Director of Social in 2015 after spending several years on the brand side at Provide Commerce & FTD companies. Brad has a strong background in Social, SEO, e-commerce, landing page and test optimizations, analytics, as well as production and promotion of digital content. Originally from New Jersey, Brad went to college in Virginia at James Madison University and received a degree in Marketing. He has called San Diego home for the last seven years, and also works out of San Diego. Brad enjoys surfing, being outdoors, music festivals, traveling, cooking, and spending time with his dog Duke.

## About 3Q Digital

3Q Digital, a Harte Hanks company, provides strategic growth consulting and execution across six growth drivers: customer journey,

user experience, device strategy, analytics, technology, and growth platforms. The company offers best-in-class services in SEM, SEO, display, social advertising, mobile, video, creative, and analytics. 3Q Digital works with some of today's fastest-growing clients, including Square, Prosper, RelaxTheBack, SurveyMonkey, Fitbit, and Eventbrite.

If you're interested in learning more about 3Q Digital's services, please call us at 650 539-4625 or visit <http://www.3QDigital.com/contact/>. 3Q Digital is based in Silicon Valley and has offices in San Francisco, Chicago, San Diego, Raleigh, Austin, and Burlington, VT.



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